

E-commerce Business Models and Concepts

E-commerce Business Models

- ▶ **Business model:**

- ▶ Set of planned activities designed to result in a profit in a marketplace. The business model is at the center of the business plan.

- ▶ **Business plan:**

- ▶ A **business plan** is a document that describes a firm's business model.

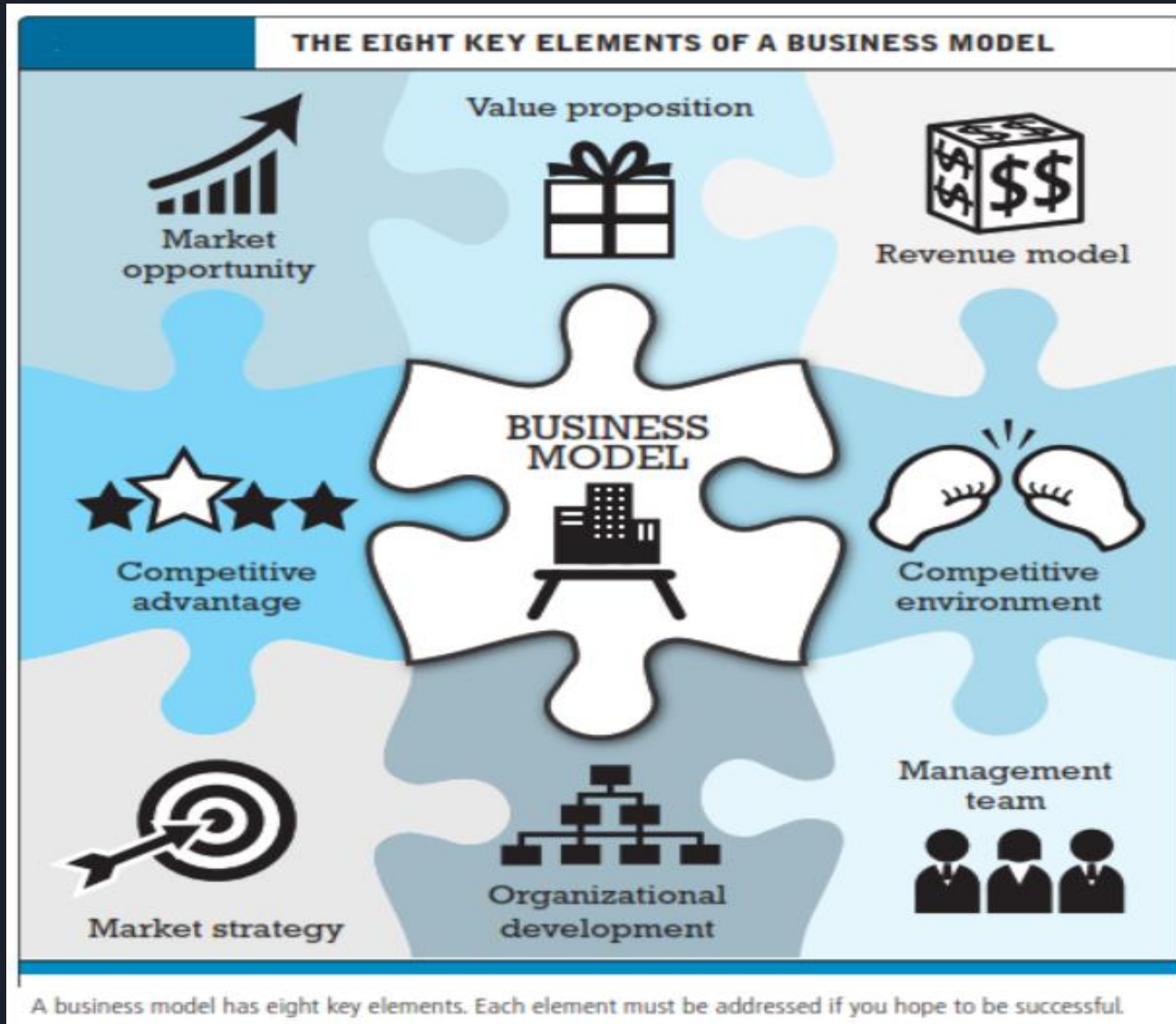
- ▶ **E-commerce business model:**

- ▶ An **e-commerce business model** aims to use and leverage the unique qualities of the Internet, the Web, and the mobile platform.

Eight Key Elements of a Business Model

- ❖ Value proposition
- ❖ Revenue model
- ❖ Market opportunity
- ❖ Competitive environment
- ❖ Competitive advantage
- ❖ Market strategy
- ❖ Organizational development
- ❖ Management team

Eight Key Elements of a Business Model



Key Elements of a Business Model

KEY ELEMENTS OF A BUSINESS MODEL

COMPONENTS

KEY QUESTIONS

Value proposition	Why should the customer buy from you?
Revenue model	How will you earn money?
Market opportunity	What marketplace do you intend to serve, and what is its size?
Competitive environment	Who else occupies your intended marketplace?
Competitive advantage	What special advantages does your firm bring to the marketplace?
Market strategy	How do you plan to promote your products or services to attract your target audience?
Organizational development	What types of organizational structures within the firm are necessary to carry out the business plan?
Management team	What kinds of experiences and background are important for the company's leaders to have?

Value Proposition

- ▶ How does the product or service fulfill customer needs
- ▶ E-commerce value propositions:
 - ▶ Personalization/customization
 - ▶ Convenience
 - ▶ Price/No shipping cost
 - ▶ Quick delivery
 - ▶ Unparalleled Selection
 - ▶ Product/service quality

Value Proposition

Amazon's Value Propositions Fulfilled:

- ▶ **Personalization/Customization:** When Sarah logs in, Amazon shows headphone recommendations based on her previous searches and purchases.
- ▶ **Convenience:** She can browse thousands of headphones, read reviews, compare prices, and place an order — all from her phone.
- ▶ **Price/No Shipping Cost:** Sarah finds a deal with a discount and sees that her **Prime membership** offers **free shipping**.
- ▶ **Quick Delivery:** Amazon guarantees **next-day delivery**, which is perfect since she has a meeting in two days.
- ▶ **Unparalleled Selection:** Sarah chooses from **multiple brands**, colors, and features — all in one place.
- ▶ **Product/Service Quality:** She checks **verified buyer reviews** and ratings to ensure the product meets her expectations.

Revenue Model

- ▶ How will the company earn money
- ▶ Major types of revenue models:
 - ▶ Advertising revenue model- Facebook
 - ▶ Subscription revenue model –Anti virus, Consumer Reports, Wall Street News Subscription, Online Dating
 - ▶ Transaction fee revenue model- ebay, E-trade, Credit cards
 - ▶ Sales revenue model – AmazonMP3, Amazon, Gap
 - ▶ Affiliate revenue model – airlines/car rentals/hotels

Five Primary Revenue Models

FIVE PRIMARY REVENUE MODELS

REVENUE MODEL

EXAMPLES

REVENUE SOURCE

Advertising

Yahoo
Facebook

Fees from advertisers in exchange for advertisements

Subscription

eHarmony
The Economist
Netflix

Fees from subscribers in exchange for access to content or services

Transaction Fee

eBay
E*Trade

Fees (commissions) for enabling or executing a transaction

Sales

Amazon
ASOS
Birchbox
iTunes

Sales of goods, information, or services

Affiliate

MyPoints

Fees for business referrals

Market Opportunity

- ▶ The intended Marketspace of the company
 - ▶ Marketspace: Area of actual or potential commercial value in which company intends to operate
 - ▶ Realistic market opportunity: Defined by revenue potential in each market niche in which company hopes to compete
- ▶ Market opportunity typically divided into smaller niches

Competitive Environment

- ▶ Who else occupies your intended marketspace?"
 - ▶ Other companies selling similar products in the same marketspace
 - ▶ New entrants into market, substitute products, and power of consumers and suppliers (nature of competition)
 - ▶ Includes both direct and indirect competitors.
- ▶ Influenced by:
 - ▶ Number and size of active competitors
 - ▶ Each competitor's market share
 - ▶ Competitors' profitability
 - ▶ Competitors' pricing

Competitive Advantage

- ▶ Firms achieve a **competitive advantage** when they can produce a superior product and/or bring the product to market at a lower price than most, or all, of their competitors.
- ▶ Important concepts:
 - ▶ Asymmetries exist when one competitor has more resources or differential access to them compared to other competitors
 - ▶ First-mover advantage
 - ▶ Unfair competitive advantage results from factors of production that are hard to duplicate or acquire (brands, natural resources, capital investments)
 - ▶ Leverage using vast resources to move in other markets – leveraging a large customer base, or lots of money.
 - ▶ Perfect markets do not allow for competitive advantage as all firms have equal access to all factors of production

Market Strategy

- ▶ How do you plan to promote your products or services to attract the target audience
 - ▶ Details how a company intends to enter market and attract customers
 - ▶ Best business concepts will fail if not properly marketed to potential customers.

Organizational Development

- ▶ The types of organizational structures within the firm necessary to carry out the business plan
- ▶ Describes how firm will organize work
 - ▶ Typically, divided into functional departments, some organize around products, combination of both (auto manufacturers)
 - ▶ As company grows, hiring moves from generalists to specialists

Management Team

- ▶ “What kind of backgrounds should the company’s leaders have?”
- ▶ A strong management team:
 - ▶ Make the business model work
 - ▶ Give credibility to outside investors
 - ▶ Has market-specific knowledge
 - ▶ Has experience in implementing business plans

Raising Capital

- ▶ Seed capital: personal funds used to start business
- ▶ Traditional sources
 - ▶ Incubators provide small amount of funding and provide services to start-ups
 - ▶ Commercial banks
 - ▶ Angel investors: wealthy investors who invest money in exchange for equity share of the business (Shark tank)
 - ▶ **Strategic partners:** Strategic partners are companies or organizations that support a business not only by providing funding but also by offering technology, expertise, customers, distribution networks, or other valuable resources to help the business grow and succeed.

Categorizing E-commerce Business Models

- ▶ No one correct way (explained on upcoming slides)
- ▶ The book categorizes them based on:
 - ▶ E-commerce sectors (B2B, and B2C)
 - ▶ E-commerce technology (e.g., m-commerce)
- ▶ Similar business models appear in more than one sector
- ▶ Some companies use multiple business models (e.g., eBay, Amazon)

B2C Business Models

- ▶ E-tailer
- ▶ Community providers create communities for like minded people (social networks eg. Facebook)
- ▶ Content provider disseminate info (CNN, ESPN etc)
- ▶ Portal enable searching to provide info (Yahoo, Google)
- ▶ Transaction broker (E*TRADE, Hotels.com, Travelocity)
- ▶ Market creator creates market spaces (Ebay, Amazon)
- ▶ Service provider (Gmail, Verizon, PayPal, VisaNow.com)

B2C Models: E-tailer

- ▶ Online version of traditional retailer (Walmart)
- ▶ Revenue model: Sales
- ▶ Variations:
 - ▶ **Virtual merchant:** A business that operates only online and has no physical store. (online bank)
 - ▶ **Bricks-and-clicks:** A business that has both physical stores (Bricks) and online stores (Clicks)
 - ▶ Catalog merchant: A business that sells products through an online or printed catalog. (home shopping network)
 - ▶ Sells large variety of household and personal products

B2C Models: E-tailer

- ▶ **Manufacturer-direct** : The manufacturer sells products **directly to customers** without wholesalers or retailers. (Nike Online, Apple Online Store)

B2C Models: Community Provider

- ▶ Provide online environment (social network) where people with similar interests can transact, share content, and communicate
 - ▶ Examples: Facebook, LinkedIn, Twitter, Pinterest
- ▶ Revenue models:
 - ▶ Typically hybrid, combining advertising, subscriptions, sales, transaction fees, and so on

B2C Models: Content Provider

- ▶ Digital content on the Web:
 - ▶ News, music, video, text, artwork
- ▶ Revenue models:
 - ▶ Subscription; pay per download (micropayment); advertising; affiliate referral
- ▶ Variations:
 - ▶ Syndication- firm does not own material just distributes it (newspaper horoscopes and crossword puzzles are **syndicated** content)
 - ▶ Web aggregators (shopping.com, Travelocity, Priceline) aggregate info and add value to it

B2C Business Models: Portal

- ▶ A portal is a website that provides a search engine along with different types of content and online services in one place.
- ▶ Searching capability plus an integrated package of content and services
- ▶ Revenue models:
 - ▶ **Advertising:** Earns money by displaying ads. (*Example: Google Ads*)
 - ▶ **Referral Fees:** Receives a commission when users visit or buy from another website through its links.
 - ▶ **Transaction Fees:** Charges a fee for processing transactions or bookings.
 - ▶ **Subscriptions:** Charges users a monthly or yearly fee for premium services.

B2C Business Models: Portal

► Variations:

a) Horizontal (General) Portal: A portal that serves all types of Internet users by providing a wide range of information and services.

Ex: Google, Yahoo.

b) Vertical (Specialized) Portal (Vortal): A portal that focuses on one specific industry or topic and provides specialized information and services. Ex: WebMD (Health), Zillow (Real Estate)

c) Searching Capabilities: A portal allows users to search and quickly find information, websites, products, or services from the Internet. Ex: When you search "best laptops under \$1000" on Google, it displays relevant websites, reviews, shopping links, and videos.

B2C Models: Transaction Broker

- ▶ A Transaction Broker is a company that helps consumers complete online transactions without owning the product or service. It acts as an intermediary between buyers and sellers, making transactions faster, easier, and more secure.
Ex: Hotels.com allows customers to book hotels.
- ▶ Primary value proposition—saving time and money, and enabling online transactions (stocks, credit card and PayPal payments)
- ▶ Revenue model:
 - ▶ Transaction fees
- ▶ Industries using this model:
 - ▶ **Financial Services:** Online banking, stock trading (e.g., E*TRADE)
 - ▶ **Travel Services:** Hotel and flight booking (e.g., Hotels.com, Expedia)
 - ▶ **Entertainment:** Online ticket booking for movies, concerts, and events
 - ▶ **Job Placement Services:** Job portals that connect employers with job seekers (e.g., LinkedIn Jobs, Indeed)

B2C Models: Market Creator

► A Market Creator is an online platform that creates a digital marketplace where buyers and sellers can meet, negotiate, and complete transactions. The platform itself usually does not own the products; instead, it connects buyers and sellers. Ex: eBay

► **Revenue model:**

Market creators earn money by charging:

- **Transaction fees** for each successful sale.
- **Access or listing fees** paid by merchants to list their products or services.

B2C Models: Service Provider

- ▶ A Service Provider is a business that offers online services directly to consumers instead of selling physical products. These services make everyday tasks easier, faster, and more convenient.
- ▶ **Value proposition** : Service providers attract customers by offering:
 - Convenient and easy-to-use services
 - Time-saving solutions
 - Low-cost or free alternatives to traditional services
 - Access from anywhere through the internet

B2C Models: Service Provider

- ▶ **Revenue models:** Service providers earn money through:
 - Sales of services (e.g., paid software or premium features)
 - Subscription fees (e.g., Netflix Premium, Spotify Premium)
 - Advertising (e.g., ads shown on Google or YouTube)
 - Selling marketing data or insights (anonymized user data for advertising purposes)
- ▶ **Example:** Google provides Gmail and Google Maps for free. It earns most of its revenue by displaying advertisements and offering premium business services like Google Workspace.

B2B Business Models

- ▶ B2B relies on EDI (electronic data interchange)
- ▶ Net marketplaces (explained in upcoming slides)
 - ▶ E-distributor
 - ▶ E-procurement
 - ▶ Exchange
 - ▶ Industry consortium
- ▶ Private industrial network

B2B Models: E-distributor

- ▶ Version of retail and wholesale store, MRO goods, and indirect goods
- ▶ Owned by one company seeking to serve many customers
- ▶ **Key features:**
 - Works mainly in the B2B (Business-to-Business) market.
 - Offers a large online catalog of products.
 - Businesses can search, compare, order, and pay online.
 - Often supports bulk purchasing.
 - Makes purchasing faster and reduces procurement costs.
- ▶ Revenue model: Sales of goods
- ▶ Example: [Grainger.com](https://www.grainger.com) (sells industrial equipment, tools, safety products, and other supplies to businesses.)

MRO

- ▶ MRO - Maintenance, repair and operations
- ▶ Supplies consumed in the production process but which do not either become part of the end product or are not central to the firm's output.
- ▶ MRO items include consumables (such as cleaning, laboratory, or office supplies), industrial equipment (such as compressors, pumps, valves) and plant upkeep supplies (such as gaskets, lubricants, repair tools), and computers, fixtures, furniture, etc.

B2B Models: E-procurement

- ▶ Creates and sells access to digital markets where participants transact for indirect goods
 - ▶ B2B service providers, application service providers (ASPs)
- ▶ Revenue model:
 - ▶ Service fees, supply-chain management, fulfillment services
- ▶ Example: Ariba- system provides sellers with the ability to manage catalogs, bids, purchases and invoices and provides buyers with the ability to search for suppliers, negotiate savings, procure goods and services and track spending.
- ▶ <http://www.ariba.com/about/our-story>

B2B Models: Exchanges

- ▶ Independently owned vertical digital marketplace where hundreds of suppliers meet a small number of large commercial purchasers
- ▶ Revenue model: Transaction, commission fees
- ▶ Create powerful competition between suppliers
- ▶ Tend to force suppliers into powerful price competition; number of exchanges has dropped dramatically
- ▶ Example, Walmart has the ability to negotiate the best prices in the industry

B2B Models: Industry Consortia

- ▶ Industry-owned vertical digital marketplace open to select suppliers
- ▶ More successful than exchanges
 - ▶ Sponsored by powerful industry players
 - ▶ Strengthen traditional purchasing behavior
- ▶ Revenue model: Transaction, commission fees
- ▶ Example: Exostar used by defense industry - <http://www.exostar.com/Mission/>
- ▶ ICAMR: International Consortium for Advanced Manufacturing Research

Private Industrial Networks

- ▶ Digital network used to coordinate among firms engaged in business together
- ▶ Represents 75% of B2B business by large firms
- ▶ Often owned by a large network firm
- ▶ Example: Walmart's network for suppliers
- ▶ Cost absorbed by network owner and recovered through production and distribution efficiencies

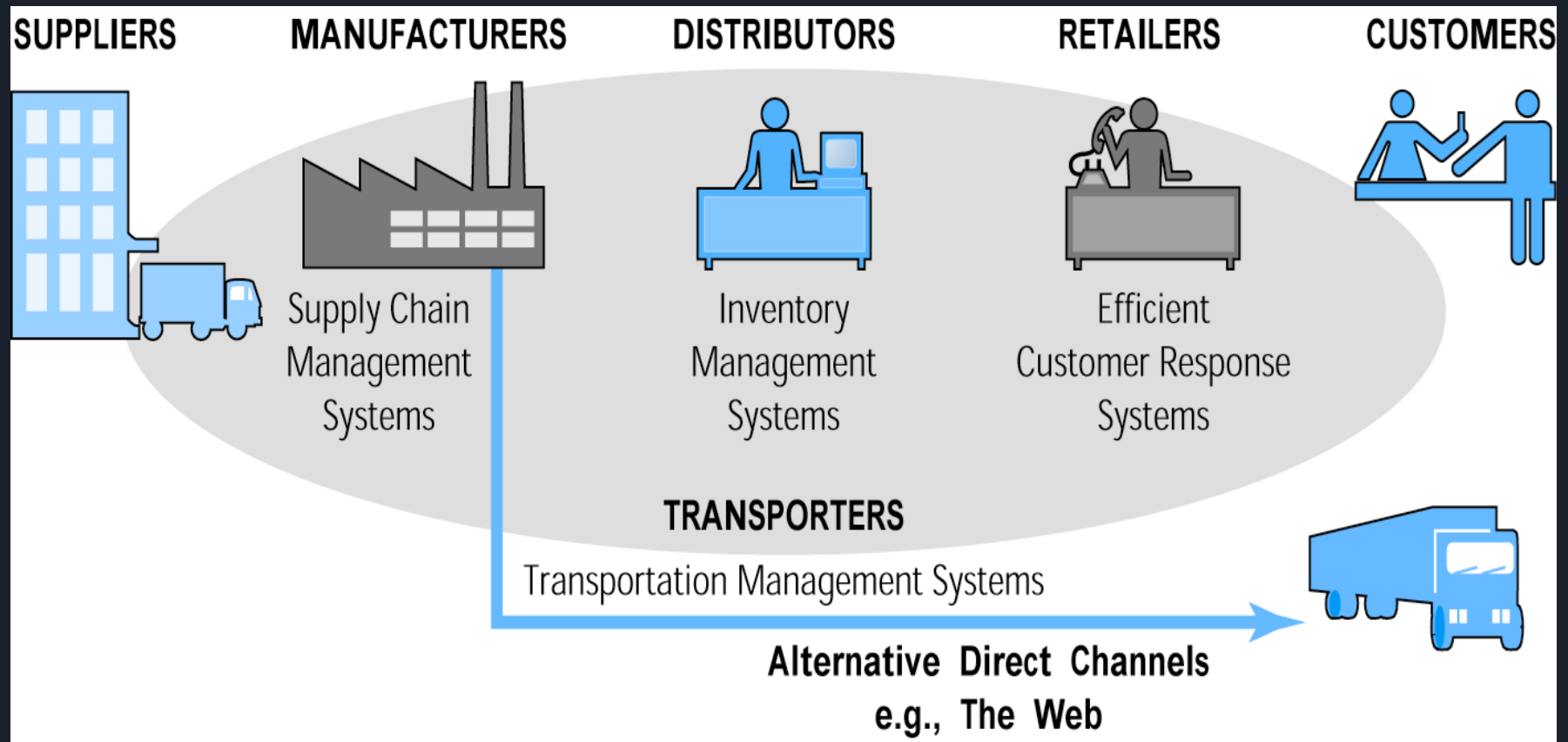
How E-commerce Changes Business

- ▶ E-commerce changes industry structure by changing:
 - ▶ Rivalry among existing competitors
 - ▶ Barriers to entry
 - ▶ Threat of new substitute products
 - ▶ Strength of suppliers
 - ▶ Bargaining power of buyers

Industry Value Chains

- ▶ Set of activities performed by suppliers, manufacturers, transporters, distributors, and retailers that transform raw inputs into final products and services
- ▶ Internet reduces cost of information and other transactional costs
- ▶ Leads to greater operational efficiencies, lowering cost, prices, adding value for customers

E-commerce and Industry Value Chains



Firm Value Chains

- ▶ Activities that a firm engages in to create final products from raw inputs
- ▶ Each step adds value
- ▶ Effect of Internet:
 - ▶ Increases operational efficiency
 - ▶ Enables product differentiation
 - ▶ Enables precise coordination of steps in chain

Firm Value Chains Example

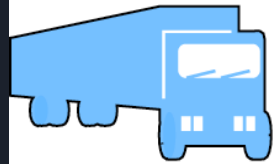
- ▶ Consider a clothing company like Zara:
- ▶ Fabric Purchase → Design → Production → Quality Check → Packaging → Online Sales → Delivery
- ▶ Each step adds value to the product. The Internet makes these steps faster, cheaper, and better coordinated. It also helps the company differentiate its products according to customer needs and preferences.

E-commerce and Firm Value Chains

Administration
Human Resources
Information Systems
Procurement
Finance/Accounting

SECONDARY ACTIVITIES

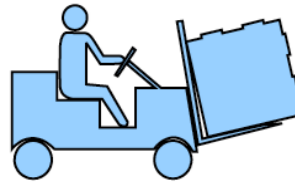
PRIMARY ACTIVITIES



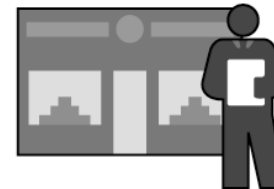
**Inbound
Logistics**



Operations



**Outbound
Logistics**



**Sales and
Marketing**



**After Sales
Service**

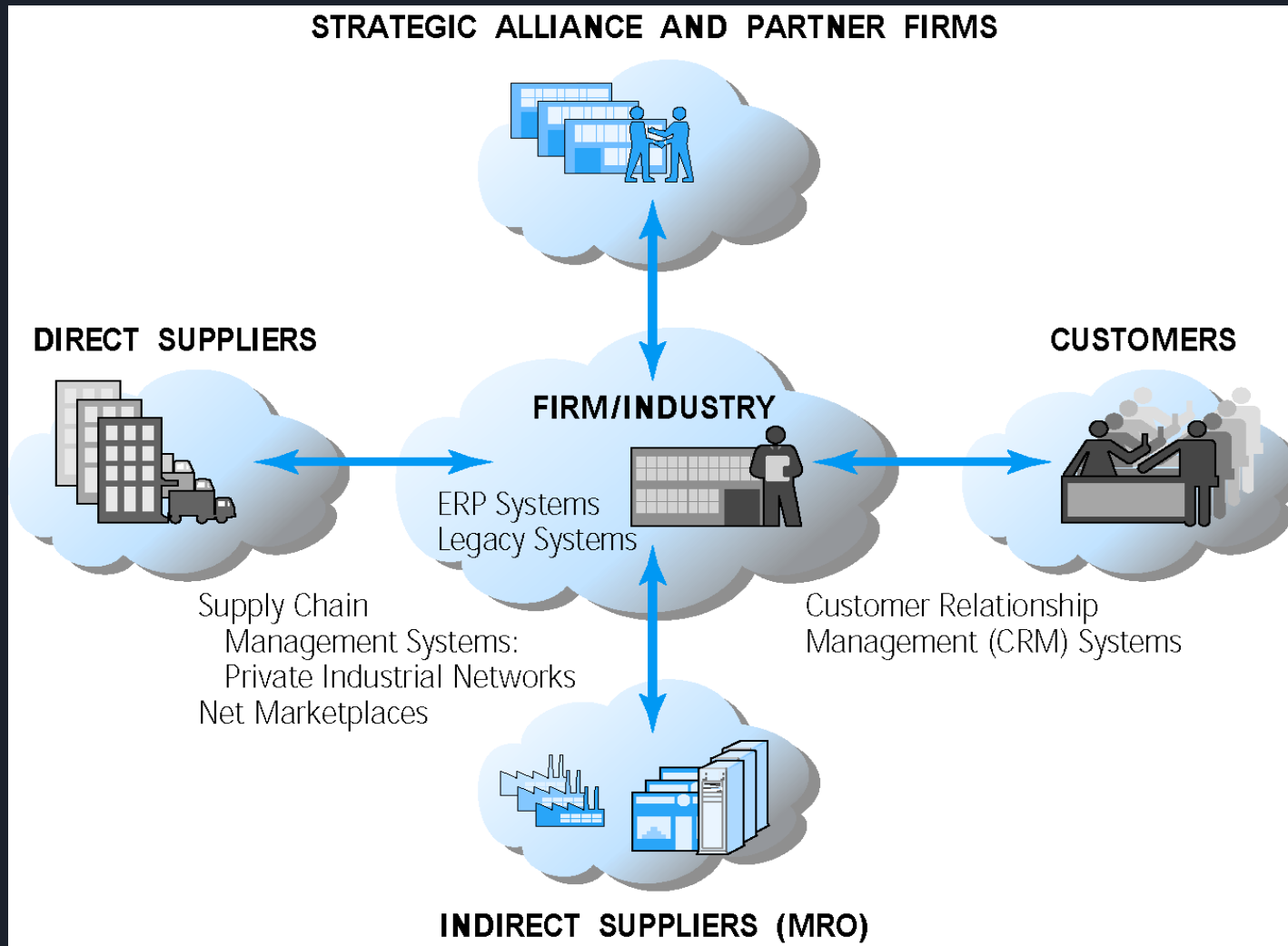
Firm Value Webs

- ▶ Networked business ecosystem
- ▶ Uses Internet technology to coordinate the value chains of business partners
- ▶ Coordinates a firm's suppliers with its own production needs using an Internet-based supply chain management system

Firm Value Webs

- ▶ Suppose Zara needs to produce 10,000 shirts. Through an Internet-based supply chain management system, Zara can connect and coordinate with its fabric suppliers, factories, warehouses, and logistics companies.
- ▶ Customer Demand → Zara → Fabric Supplier → Production → Warehouse → Delivery
- ▶ If Zara's system detects increased demand for black shirts, it can inform the fabric supplier that more black fabric is needed. The supplier can then deliver the required material according to Zara's production schedule.

Internet-enabled Value Web



Business Strategy

- ▶ Plan for achieving superior long-term returns on capital invested: that is, profit
- ▶ Five generic strategies
 - ▶ Product/service differentiation
 - ▶ Cost competition
 - ▶ Scope
 - ▶ Focus
 - ▶ Customer intimacy: A marketing strategy where a service supplier or product retailer gets close to customers. The benefits include improved highly tailored problem solving capabilities, greater customization of products to customer needs, as well as higher customer loyalty.